



Political Thre

| By Shankkar Aiyar |

India is poised at the carrefour of choice. The path it chooses at this intersection could transport the billion-plus nation onto the orbit of growth or feed the purveyors of fringe ideologies. Growing at over 6 per cent in the year of the meltdown, India has the opportunity to own a huge chunk of global growth by proactively courting it. Early indicators though signal that the country is about to stumble and tumble into incrementalism. Yet again this year—as in 2007—India faces the phantom of food price inflation, the result of nearly two decades of waffling on critical structural reforms, both in agriculture and in opening retail to create a supply chain. Any objective analysis of pricing in the economy would reveal that costs are falling in every domain that has been set free from red tape and rising in every domain



7.9%
is India's real
GDP growth in
the second
quarter of
FY09-10, making
it the highest
growth since
first quarter
of FY07-08.

managed by the government.

This harsh truth though will be ignored. The casualty will be growth with the rant of the political constituency as in 2007-08 forcing the Reserve Bank to choke credit in response. The political managers seem content with 6 per cent growth when the need to alleviate poverty is 9-plus per cent GDP growth. The conflicting frames of lower revenue collections and higher industrial output, of low credit growth and the threat of interest rate hikes signalled by the central bank indicate confusion in the Government. The idle chatter about an exit policy for the stimulus package is only aggravating sentiments and may just brown out the tender green shoots of recovery.

India is miffed and mystified that the US has accorded China the G1+1 status, not India, the world's largest free market

democracy. But it must first survey the choices it made. China leads the global recovery story because it chose to invest in owning a dominant market share of global economic growth.

In an era when the ayatollahs of bank credit appraisal reigned, China used its bank deposits to invest in capacity and infrastructure. While India uses its resources—nearly a fourth of its fiscal deficit this year—to create a mammoth subsidy raj tailored to capture political power, China used its moolah to render its producers competitive by creating jobs and a huge share of the global market. This is not the time for another debate on consensus. This is the time to act.

The Board of INDIA TODAY Economists (BITE) met to review the performance of the economy and analyse the fears. Their prescription is more, not less, reforms.